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Back to Work Enterprise Allowance

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1. What Back to Work Enterprise Allowance is
2. How to qualify

Part of

Policies

3. Rates of payment
4. Apply
5. Related Services
6. Operational Guidelines

Social Protection

Learn more about Budget 2027 measures.

What Back to Work Enterprise Allowance is

The Back to Work Enterprise Allowance (BTWEA) scheme encourages people getting certain social welfare payments to become self-employed. If you take part in the Back to Work Enterprise Allowance scheme you can keep a percentage of your social welfare payment for up to 2 years. Back to Work Enterprise Allowance is a payment made by the department to people aged under 66.

A new applicant should meet with an Employment Personal Adviser who will conduct a brief initial assessment with you to assess your suitability for the scheme in line with your progression plan. Once this is completed you will be referred to a Local Development Company (LDC) who will assist you in discussing your options and explore the viability of your business idea.

The LDC will assist with preparing your business plan to outline the new enterprise. Once the plan is completed it will be returned to the Employment Personal Adviser who will review the proposal and then make a recommendation to the Deciding Officer.

Once you are accepted onto the scheme your new enterprise can avail of the supports from the Employment Personal Adviser and mentoring from the LDC over the two years of the scheme.

How to qualify

You can qualify for a Back to Work Enterprise Allowance (BTWEA) if you are:

Setting up as self-employed in a new business that has been approved in advance in writing by an Employment Personal Adviser and a Local Development Company (go to the apply section).

and

Getting Jobseeker's Allowance, Jobseeker's Transitional Payment or One-Parent Family Payment continuously for at least 9 months (234 days). If you have been getting either casual Jobseeker's Benefit or Jobseeker's Allowance payments continuously for 12 months (312 days) immediately before Back to Work

Enterprise Allowance, you can have a maximum of 30 days off the Live Register during this time

or

Getting one of the qualifying payments below continuously for at least 9 months:

- Blind Pension
- Disability Allowance
- Carer's Allowance (full rate) - having stopped caring duties
- Deserted Wife's Benefit/Deserted Wife's Allowance
- Farm Assist - the new business cannot be in relation to the farm holding or the continuation of an existing business
- Invalidity Pension
- Bereaved Partner's (Non-Contributory) Pension

or

Qualifying from Illness Benefit: 3 out of last 5 years in receipt of a qualifying social welfare payment

or

Combination of any qualifying payments above (except for Illness benefit) continuously for 9 months

Other ways of qualifying for Back to Work Enterprise Allowance

You may also be considered for the Back to Work Enterprise Allowance if you are a qualified adult of a person who is already getting the Back to Work Enterprise Allowance.

You may qualify if the person who is getting the Back to Work Enterprise Allowance stops their self-employment before exhausting their entitlement due to certain circumstances. Valid circumstances would include a long-term illness or injury which prevents the original claimant from working, or the illness of an immediate family member which requires them to become a full-time carer.

If you qualify for Back to Work Enterprise Allowance in this way, you may avail of the scheme for the time remaining on the original claim. This involves the original claimant transferring his or her entitlements to you as their qualified adult. You become self-employed and the original claimant becomes your qualified adult on the Back to Work Enterprise Allowance. If the original claimant is entitled to credits, he or she can continue to claim them. However Back to Work Enterprise Allowance cannot be paid at the same time as another social welfare payment.

If you have been recently released from prison, you

may qualify for Back to Work Enterprise Allowance. Time spent in prison can count towards the qualifying period for the Back to Work Enterprise Allowance if you establish an entitlement to a relevant social welfare payment before becoming self-employed.

Rates of payment

If you qualify for the Back to Work Enterprise Allowance you can keep the following portion of your social welfare payment, including increases for a qualified adult and qualified children for a maximum of 2 years:

- 100% for the first year
- 75% for the second year

Change of circumstances

If your circumstances change, your rate of payment for a qualified adult, or additional qualified children may be increased or decreased, depending on your situation. However, if your Back to Work Enterprise Allowance claim is based on a previous entitlement to One-Parent Family Payment or Carer's Allowance, you cannot claim an increase for a qualified adult as this would not have been payable on your underlying entitlement.

If your qualified adult finds employment, this does not

affect your Back to Work Enterprise Allowance. However, if your qualified adult claims another social welfare payment in their own right, your Back to Work Enterprise Allowance payment will be reduced accordingly.

Apply

To apply for the Back to Work Enterprise Allowance, you must complete the BTW2 application form:



Application Form: Self-employed people under the Back to Work Enterprise Allowance (BTW2)

Edition: September 2025

View

You should return your BTW2 to the Employment Personal Adviser in your local Intreo Centre or Social Welfare Branch Office.

The Employment Personal Adviser will look at your business proposal and may discuss certain aspects of it with you. You may then be referred to your Local

Development Company. You must not take up self-employment until you have received written approval from the department.

If you are accepted on to the Back to Work Enterprise Allowance, you must register as self-employed with the Revenue Commissioners.

Reviewing a decision

The Back to Work Enterprise Allowance is an administrative scheme. This means that you cannot appeal a decision to the Social Welfare Appeals Office. However, you can ask the department to review your application if you feel that you have been wrongly refused the allowance.

Related Services

Short-Term Enterprise Allowance (STEA)

Alternatively, you may be eligible for the Short-Term Enterprise Allowance (STEA). STEA is a non-statutory scheme which supports you if you have lost your job and want to start your own business. The Short-Term Enterprise Allowance is paid instead of your Jobseeker's Benefit/Jobseeker's Pay-Related Benefit/Jobseeker's Benefit Self-Employed payment (JB/JBSE) for a maximum of 9 months. It ends when

your entitlement to JB/JPRB/JBSE ends (that is, at either 9 or 6 months). You may be entitled to secondary benefits in certain circumstances. You can find more information about the Short-Term Enterprise Allowance here.

Operational Guidelines

Operational guidelines describe the processes and procedures that staff in the department follow when carrying out their work.

Operational Guidelines: Back to Work Enterprise Allowance (Self-Employed)

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